UNIVERSITI TUNKU ABDUL RAHMAN

ACADEMIC YEAR 2015/2016

DECEMBER EXAMINATION

UKFF4024 MULTINATIONAL FINANCE

SATURDAY, 26 DECEMBER 2015 TIME: 9.00 AM – 12.00 PM (3 HOURS)

BACHELOR OF INTERNATIONAL BUSINESS (HONS)

Instructions to Candidates:

Section A: [Total: 40 marks]

This section consists of **ONE (1) compulsory** question that **MUST** be answered.

Section B: [Total: 60 marks]

This section consists of three (3) **optional** questions and **ONLY TWO (2)** questions to be answered.

Note: For calculation question(s), marks will be awarded for detailed workings.

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Section A **[Total: 40 marks]**
(Answer this ONE compulsory question)

Q1. (a) Baresi Sdn Bhd, a Malaysian multinational corporation, continuously has net cash outflow in Swiss francs. State **FOUR (4)** possible ways of restructuring operations to reduce its economic exposure in Swiss francs. (8 marks)

(b) Maldini Group is a Malaysian multinational sauce and processed food manufacturers that has subsidiaries in mote than twenty countries over the globe, including the United States, the United Kingdom and Germany. Parent company in Malaysia is considering to obtain an one-year foreign currency loan to finance its working capital needs in Malaysia due to the difficulty to raise home currency loan during the period of unfavourable economic and political conditions. The Finance Director of Maldini Group has gathered the following information on three foreign currency financing alternatives:

	Loan Principal (today)	Current spot rate	Interest rate
Alternative 1	USD 3,000,000	MYR4.0000/USD	4%
Alternative 2	GBP 2,000,000	MYR6.0000/GBP	7%
Alternative 3	EUR 2,400,000	MYR5.0000/EUR	4%

In addition, expected inflation rates in Malaysia, the United States, the United Kingdom and the Euro zone are 10%, 6%, 3% and 8% respectively in the coming year.

Required:

(i) Assuming Purchasing Power Parity (PPP) holds, estimate one-year future spot rates for MYR/USD, MYR/GBP and MYR/EUR. (6 marks)

(ii) Calculate effective cost of funds for each of the three foreign currency financing alternatives. Which is the best alternative for Maldini Group? [Hint: calculate both principal and repayment in MYR terms, and then the effective cost of funds in %.] (17 marks)

(c) Explain how does each of the following factors likely to affect net foreign direct investment account of a particular host country's Balance of Payments.

(i) Host country government has just acquired some of the local private enterprises in its economy's major sectors. (3 marks)

(ii) Host country government increased the rate of capital allowance on expenditures spent by MNCs on fixed assets. (3 marks)

Section A Q1. (Continued)

(iii) Host country currency is currently strong, but is expected to weaken over time in the future. (3 marks)

[Total: 40 marks]

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Section B **[Total: 60 marks]**
(Answer any TWO out of three questions)

Q1. (a) What is "Trans-Pacific Partnership (TPP)"? What are its aims? (10 marks)

(b) When a country adopts pegged exchange rate system, what are the typical forces that break the peg? (12 marks)

(c) In the 1990s, Southeast Asia was the most attractive region of foreign direct investment inflows, but it ceased to be so in the last decade although the region has generally recovered from the Asian Financial Crisis. Give **TWO (2)** main reasons for the reduction in foreign direct investment inflows into the region. (8 marks)

[Total: 30 marks]

Q2. (a) Del Piero Berhad, a Malaysian multinational corporation based in Sarawak, plans to expand its business operations into Canada. Current spot rate is CAD1 = MYR3.20. Del Piero Berhad's cost of capital in Malaysia is 14%. Expected rates of inflation in Malaysia and Canada for the coming three years are 7% and 5% per annum respectively. Initial outlay and annual free cash flows for two mutually exclusive projects are as follows:

Year	Project A (Toronto)	Project B (Vancouver)
0	- CAD 15 million	- CAD 15 million
1	CAD 10 million	CAD 6 million
2	CAD 12 million	CAD 6 million
3	CAD 4 million	CAD 15 million

Required:
Use **Foreign Currency Cost of Capital method** to compute Net Present Value (NPV) in CAD terms and then in MYR terms for each of the two projects. Which project should be undertaken? What if the projects are independent? (18 marks)

(b) Explain **THREE (3)** disadvantages of cross-border listing on a foreign country's stock exchange to a multinational corporation. (12 marks)

[Total: 30 marks]

Section B (Continued)

Q3. (a) Totti Berhad exports its products worth USD 1,600,000 to its customer in Seattle, U.S., and has allowed the customer a three-month credit term. Totti Berhad currently has no cash surplus and its capital structure is still below the industry average gearing. Assistant finance manager has obtained the following information:

Spot rate (MYR/USD)	4.1380 – 4.1480
Three-month forward	60 – 50 points
Three-month MYR interest rates	4.50% – 6.00%
Three-month call options on USD	4% premium; strike = MYR4.2300/USD
Three-month put options on USD	3% premium; strike = MYR4.2000/USD

Required:

(i) Calculate the receipt in MYR if Totti Berhad implements forward hedge. (4 marks)

(ii) Explain whether Totti Berhad should use call options or put options above to hedge its exposure. (3 marks)

(iii) Calculate the receipt in MYR if Totti Berhad implements options hedge and the future spot rate at the end of three months turns out to be:
(1) MYR4.1000/USD
(2) MYR4.3000/USD

(11 marks)

(b) Explain **SIX (6)** advantages that a joint venture business could enjoy in the host country compared to a wholly-owned subsidiary? (12 marks)

[Total: 30 marks]